- **Human Capital :** Education and training that make human beings more productive.
- **Vicious Circle of Poverty :** Circular relationships that tend to perpetuate the low level of development in Less Developed Countries.
- **Planning :** It is the process of thinking about the activities required to achieve directed goals.
- **Centralized Planning :** Centralized planning means the power of planning and decision making are exclusively in the hands of top management.

## MODEL QUESTIONS

### Part-A

**Multiple Choice Questions**

1. "Redistribution with Growth" became popular slogan of which approach?
   a) Traditional approach
   b) New welfare oriented approach
   c) Industrial approach
   d) None of the above

2. Which is not the feature of economic growth?
   a) Concerned with developed nations
   b) Gradual change
   c) Concerned with quantitative aspect
   d) Wider concept

3. Which among the following is a characteristic of underdevelopment?
   a) Vicious circle of poverty
   b) Rising mass consumption
   c) Growth of Industries
   d) High rate of urbanization

4. The non-economic determinant of economic development
   a) Natural resources
   b) Human resource
   c) Capital formation
   d) Foreign trade

5. Economic growth measures the ----------
   a) Growth of productivity
   b) Increase in nominal income
   c) Increase in output
   d) None of the above

6. The supply side vicious circle of poverty suggests that poor nations remain poor because
   a) Saving remains low
   b) Investment remains low
   c) There is a lack of effective government
   d) a and b above

7. Which of the following plan has focused on the agriculture and rural economy?
   a) People's Plan
   b) Bombay Plan
   c) Gandhian Plan
   d) Vishveshwarayya Plan

8. Arrange the following plans in correct chronological order
   a) People's Plan
   b) Bombay Plan
   c) Jawaharlal Nehru Plan
   d) Vishveshwarayya Plan

**Answer choices**

a) (i) (ii) (iii) (iv)
b) (iv) (iii) (ii) (i)



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